

MBI Deep Dives

BY MBI DEEP DIVES IN GOOG — MAY 1, 2026

Alphabet 1Q'26: Stratospheric Heights in Performance and Expectations

Alphabet's revenue growth has accelerated for five consecutive quarters. Except for Google Network business which is increasingly irrelevant, every part of the Alphabet business is humming right now.

Segment	1Q'23	2Q'23	3Q'23	4Q'23	1Q'24	2Q'24	3Q'24	4Q'24	1Q'25	2Q'25	3Q'25	4Q'25	1Q'26	YoY
Search	40,359	42,628	44,026	48,020	46,156	48,509	49,385	54,034	50,702	54,190	56,567	63,073	60,399	19.1%
YouTube Ads	6,693	7,665	7,952	9,200	8,090	8,663	8,921	10,473	8,927	9,796	10,261	11,383	9,883	10.7%
Google Network	7,496	7,850	7,669	8,297	7,413	7,444	7,548	7,954	7,256	7,354	7,354	7,828	6,971	-3.9%
Google Advertising	54,548	58,143	59,647	65,517	61,659	64,616	65,854	72,461	66,885	71,340	74,182	82,284	77,253	15.5%
Subscriptions, platforms, and devices	7,413	8,142	8,339	10,794	8,739	9,312	10,656	11,633	10,379	11,203	12,870	13,578	12,384	19.3%
Google Services	61,961	66,285	67,986	76,311	70,398	73,928	76,510	84,094	77,264	82,543	87,052	95,862	89,637	16.0%
Google Cloud	7,454	8,031	8,411	9,192	9,574	10,347	11,353	11,955	12,260	13,624	15,157	17,664	20,028	63.4%
Other bets	288	285	297	657	495	365	388	400	450	373	344	370	411	-8.7%
Hedging Gains	84	3	(1)	150	72	102	17	20	260	(112)	(207)	(68)	(180)	-169.2%
Total revenues	69,787	74,604	76,693	86,310	80,539	84,742	88,268	96,469	90,234	96,428	102,346	113,828	109,896	21.8%
Growth YoY	2.6%	7.1%	11.0%	13.5%	15.4%	13.6%	15.1%	11.8%	12.0%	13.8%	15.9%	18.0%	21.8%	

Source: Company Filings, MBI Deep Dives, Daloopa

As mentioned **yesterday**, despite growing at an incredible ~19% in 1Q'26, Google Search still continued to lose share in digital advertising industry.

While YouTube ads revenue growth appears quite uninspiring in light of Meta and Google Search performance, management highlighted that YouTube subscription is growing faster than YouTube ads which makes me think the overall health of YouTube business remains in good shape. In fact, I actually wonder whether the fact that more and more YouTube users are choosing subscription over ad-supported experience itself is creating some pressure on Meta's (and TikTok's) ad auctions (which would increase ad prices) since a lot of valuable impressions are simply going beyond the reach of advertisers on YouTube.

The standout segment from 1Q'26 was, of course, Google Cloud. More on Cloud later.

Segment	1Q'23	2Q'23	3Q'23	4Q'23	1Q'24	2Q'24	3Q'24	4Q'24	1Q'25	2Q'25	3Q'25	4Q'25	1Q'26	YoY
Growth YoY														
Search	1.9%	4.8%	11.3%	12.7%	14.4%	13.8%	12.2%	12.5%	9.8%	11.7%	14.5%	16.7%	19.1%	
YouTube Ads	-2.6%	4.4%	12.5%	15.5%	20.9%	13.0%	12.2%	13.8%	10.3%	13.1%	15.0%	8.7%	10.7%	
Google Network	-8.3%	-5.0%	-2.6%	-2.1%	-1.1%	-5.2%	-1.6%	-4.1%	-2.1%	-1.2%	-2.6%	-1.6%	-3.9%	
Google Advertising	-0.2%	3.3%	9.5%	11.0%	13.0%	11.1%	10.4%	10.6%	8.5%	10.4%	12.6%	13.6%	15.5%	
Subscriptions, platforms, and devices	8.8%	24.2%	20.9%	22.7%	17.9%	14.4%	27.8%	7.8%	18.8%	20.3%	20.8%	16.7%	19.3%	
Google Services	0.8%	5.5%	10.8%	12.5%	13.6%	11.5%	12.5%	10.2%	9.8%	11.7%	13.8%	14.0%	16.0%	
Google Cloud	28.1%	28.0%	22.5%	25.7%	28.4%	28.8%	35.0%	30.1%	28.1%	31.7%	33.5%	47.8%	63.4%	
Total revenues	2.6%	7.1%	11.0%	13.5%	15.4%	13.6%	15.1%	11.8%	12.0%	13.8%	15.9%	18.0%	21.8%	

Source: Company Filings, MBI Deep Dives, Daloopa

There also appears to be no end in sight when it comes to margin expansion. Google Services operating margin reached a new peak at 45.3%. Given that incremental margins continue to be 60%+, I wouldn't be surprised if margin continues to expand here. Google Cloud's operating income tripled YoY; as a result, a business that was unprofitable as recent as 4Q'22 posted 32.9% operating margin in 1Q'26.

In both these segments, I should highlight that there is a **slight** wrinkle in comparing current segment margins to historical segment margins. In 2Q'24, Alphabet disclosed that *"AI model development teams previously under Google Research in our Google Services segment are included as part of Google DeepMind, reported within Alphabet-level activities, prospectively beginning in the second quarter of 2024"*.

As you can see below, there has been a noticeable step up in "Corporate costs" which includes the "Alphabet-level activities". In any case, the consolidated EBIT margin, which incorporates all the costs, reached the highest ever in Alphabet's history. Given that its consolidated incremental EBIT margin was still 10 percentage point higher than reported overall operating margin, you can see why margins may continue to expand in the near term.

Segment	1Q'23	2Q'23	3Q'23	4Q'23	1Q'24	2Q'24	3Q'24	4Q'24	1Q'25	2Q'25	3Q'25	4Q'25	1Q'26	YoY
Google Services	21,737	23,454	23,937	26,730	27,897	29,674	30,856	32,836	32,682	34,463	37,027	40,132	40,589	24.2%
Segment Operating Margin	35.1%	35.4%	35.2%	35.0%	39.6%	40.1%	40.3%	39.0%	42.3%	41.8%	42.5%	41.9%	45.3%	
Incremental Margin	-48.3%	53.2%	76.5%	76.8%	73.0%	81.4%	81.2%	78.5%	69.7%	55.6%	58.5%	62.0%	63.9%	
Google Cloud	191	395	266	864	900	1,172	1,947	2,093	2,177	2,826	3,594	5,313	6,598	203.1%
Segment Operating Margin	2.6%	4.9%	3.2%	9.4%	9.4%	11.3%	17.1%	17.5%	17.8%	20.7%	23.7%	30.1%	32.9%	
Other bets	(1,225)	(813)	(1,194)	(863)	(1,020)	(1,134)	(1,116)	(1,174)	(1,226)	(1,246)	(1,426)	(3,617)	(2,100)	
Corporate costs	(3,288)	(1,198)	(1,666)	(3,034)	(2,305)	(2,287)	(3,166)	(2,783)	(3,027)	(3,372)	(4,467)	(5,894)	(5,391)	
Total Operating Income	17,415	21,838	21,343	23,697	25,472	27,425	28,521	30,972	30,606	32,671	34,728	35,934	39,696	29.7%
Margin	25.0%	29.3%	27.8%	27.5%	31.6%	32.4%	32.3%	32.1%	33.9%	33.9%	33.9%	31.6%	36.1%	
Incremental Margin	-150.8%	48.5%	55.4%	54.0%	74.9%	55.1%	62.0%	71.6%	53.0%	44.9%	44.1%	28.6%	46.2%	

Source: Company Filings, MBI Deep Dives, Daloopa

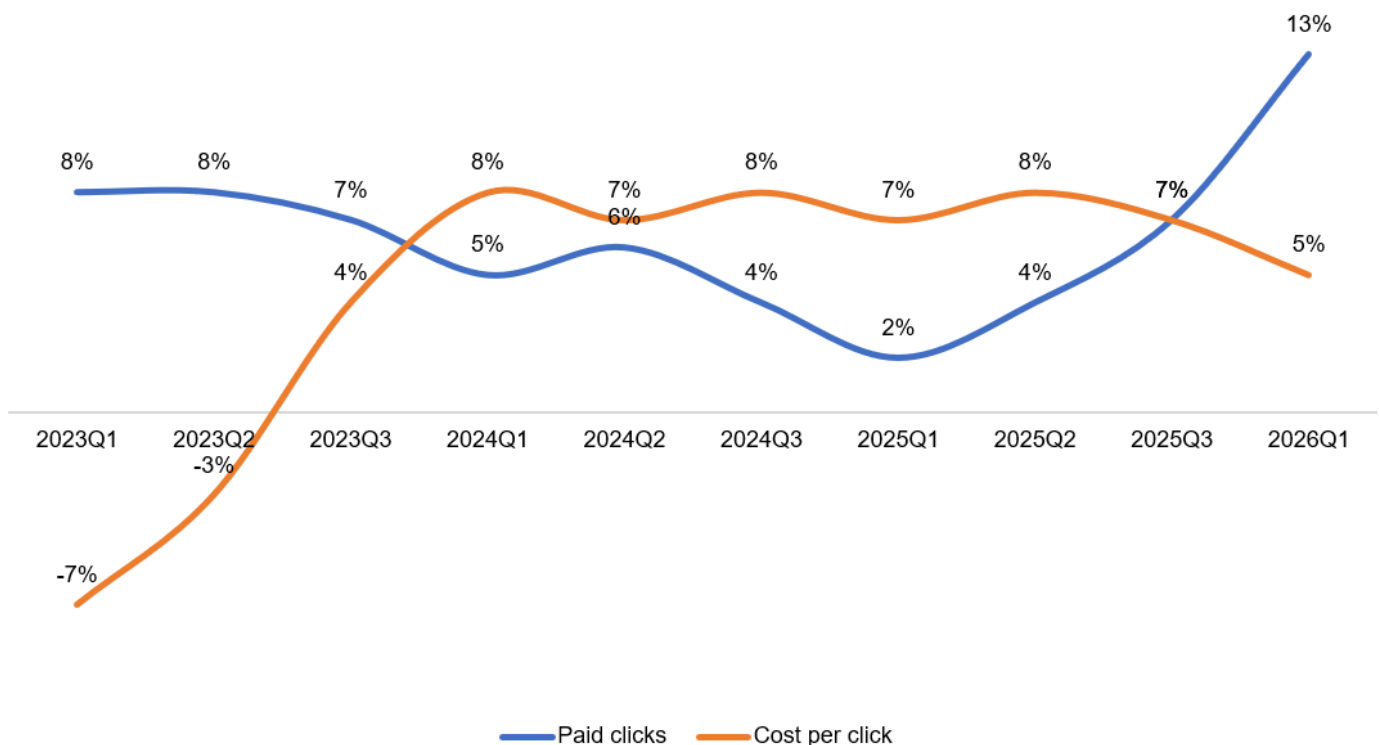
Let me quickly go through the key segments of Alphabet.

Search

Paid Clicks grew at 13% in 1Q'26, which was the highest since 1Q'22. Google has dismantled so many bear cases (including the ones I worried about) that I have lost count at this point. While the dominant narrative has been that clicks may be under secular pressure due to the rise of zero click answers especially from chat bots, the data does not seem to support at least for paid clicks. In fact, looking at the pricing trajectory for cost per click and some of the commentary during the call, it seems highly likely that cost per click will grow at a healthy rate in the near term. From the call (emphasis mine):

“...more than 30% of our customer search spend now uses AI-enabled campaigns, AI Max or Performance Max. And **these advertisers are seeing more conversion for the same spend.**”

Google Search Paid Clicks vs Cost per click trend



Management reiterated that AI is driving more search queries and given the nature of queries has been changing in the post-ChatGPT era, Google has found the changing nature of query to be a tailwind for their business. From the call (emphasis mine):

AI is boosting our ability to deeply understand user intent for a given search query and **to find the most relevant ad. Even when we don't have a direct user query, we're making significant strides in improving relevance.**

In Maps, we're using Gemini to ensure promoted pins are deeply relevant to user surroundings, location of interest, history and intent. **This work is improving ads relevance by nearly 10%**, leading to significant increase in user engagement. We're pairing this strengthened prediction-driven relevance with bottom-of-funnel precision.

While another concern was AI will raise the cost per query, looking at the margins you can tell such concerns haven't quite panned out. Thanks to Google's "hardware and engineering breakthroughs", management mentioned they reduced search latency by more than 35% over the last five years and since upgrading AI Overviews and AI Mode to Gemini 3, they have reduced the cost of core AI responses by more than 30%.

Management was asked about whether they will launch ads on Gemini. They didn't rule it out but also mentioned "we're not rushing anything here". I will be a bit surprised if Google launches ads on Gemini in 2026 as I believe they may want to stay focused on keeping the pressure high on ChatGPT by offering a zero-ads experience for free users.

YouTube and Subscriptions

Here's how Alphabet's total number of paid subscribers has grown since 1Q'25:

1Q'25: 270 Mn

3Q'25: 300 Mn

4Q'25: 325 Mn

1Q'26: 350 Mn

The recent growth was primarily driven by YouTube and Google One which itself was benefited by Google's AI subscription plans.

One interesting data point was that management mentioned "*YouTube Music and Premium offering saw its largest quarterly increase in the total number of non-trial subscribers, both globally and in the U.S. since YouTube Premium launched in June 2018.*" That's bit of a negative read-through for Spotify which only added 3 million Premium subscribers in 1Q'26 (vs 5 million in 1Q'25). That makes me think Spotify has lost share in the recent quarter.

I will talk about Google Cloud and some interesting read-throughs from the call behind the paywall.

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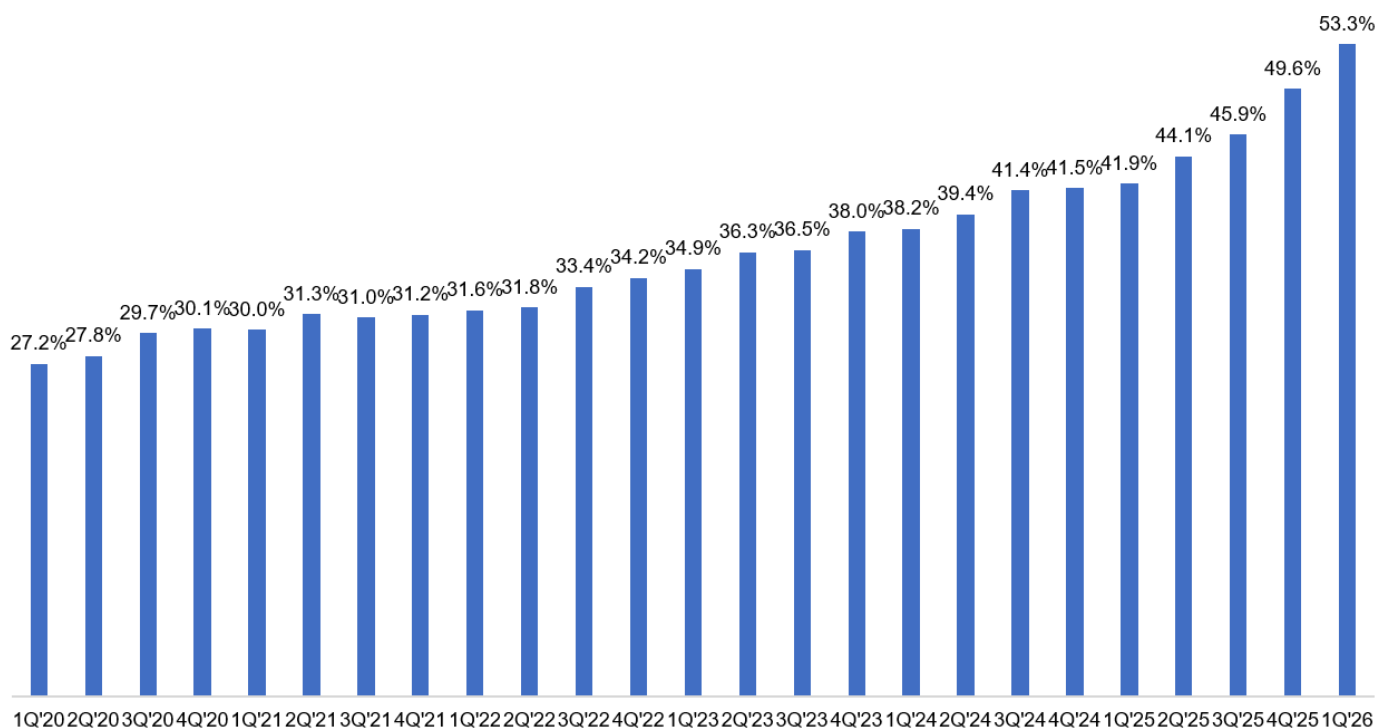
Google Cloud

If 63% cloud growth weren't mind boggling enough, Google Cloud's backlog doubled to \$462 Billion. More importantly, management mentioned just over half of this backlog will be recognized as revenue in the next 24 months. Google Cloud posted only ~\$59 Billion revenue in 2025, so if half of this backlog is recognized as revenue in the next 24 months (and backlog itself can grow further), I think it's possible that Google Cloud may reach ~\$150 Billion revenue in 2027. For context, AWS just reported ~\$137 Billion

LTM revenue. Of course, AWS revenue itself will grow, but I find it quite remarkable that Google Cloud may be ~70-75% of AWS size by next year.

Back in 1Q'20, Google Cloud was only 27.2% of AWS revenue. Six years later, it has become 53.3% of AWS revenue. Remarkably, in the last three quarters, Google Cloud just went on a different gear and given the backlog disclosure, it appears to be accelerating even further.

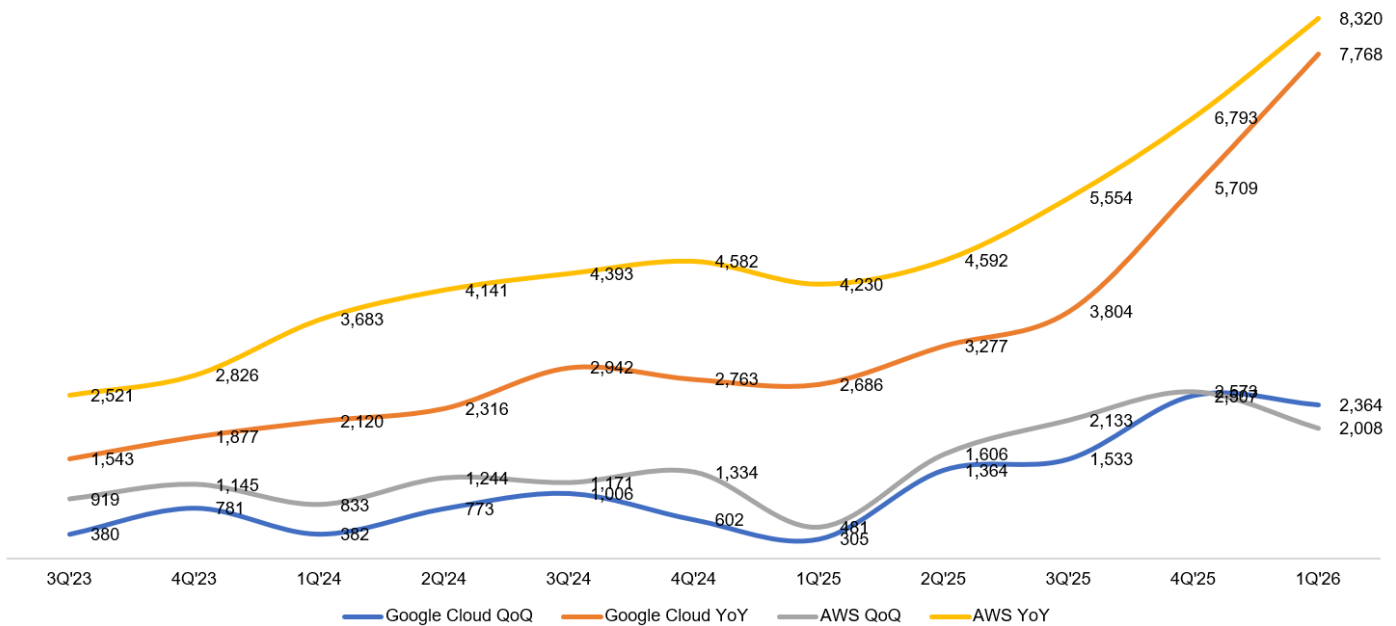
Google Cloud Revenue as % of AWS Revenue



Source: Company Filings, MBI Deep Dives, Daloopa

In fact, for the first time, Google Cloud has surpassed AWS incremental QoQ revenue growth in 1Q'26 and is now in a touching distance in terms of incremental YoY growth as well. In the post-ChatGPT era, AWS largely battled investor perceptions about AWS lagging behind Azure. Just as AWS seems to be shedding such perceptions through OpenAI partnership, Google Cloud may be raising more uncomfortable questions. I will share some additional thoughts tomorrow why I continue to believe long-term competitive dynamics among hyperscalers is likely to evolve to be quite unhealthy.

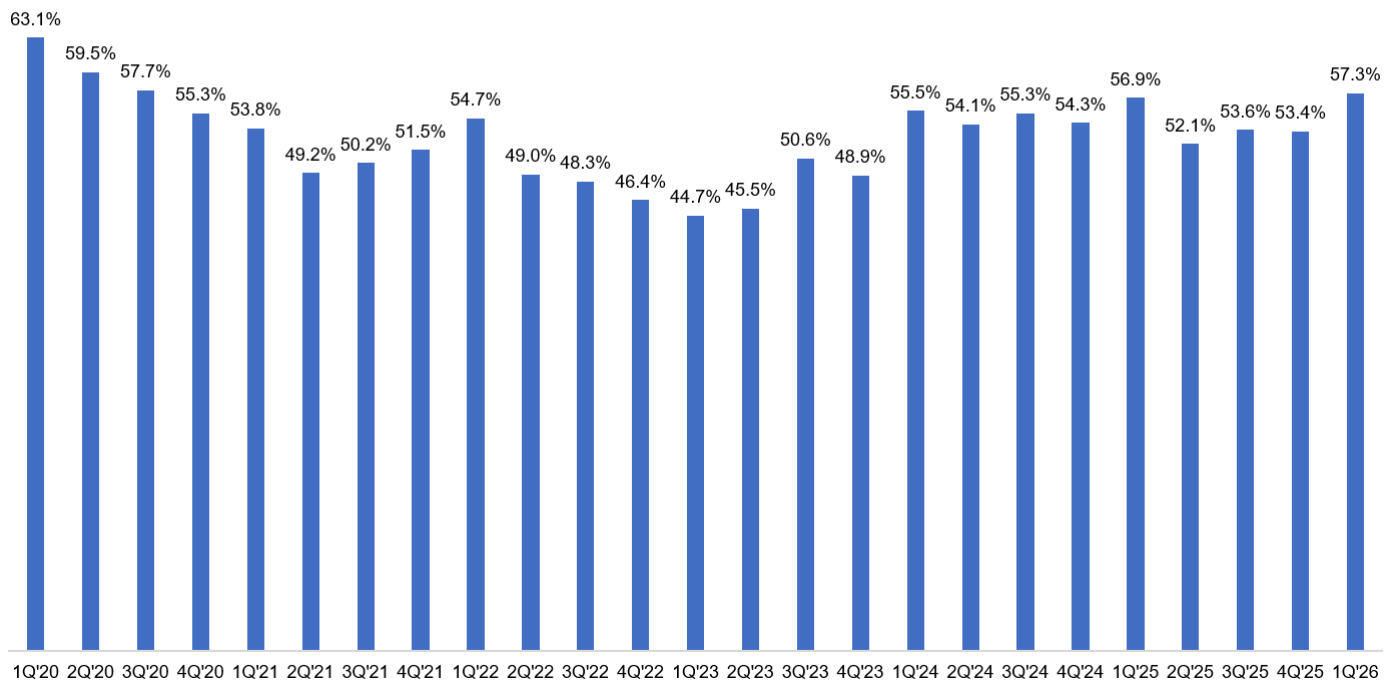
Google Cloud vs AWS incremental revenue



Source: Company Filings, MBI Deep Dives, Daloopa

Google Cloud has also almost closed the gap with AWS in operating margins as well as Google Cloud is now ~53% of AWS revenue and ~57% of AWS opex. It won't surprise me if Google Cloud's margin in 2027 is actually higher than AWS primarily for two reasons: a) Google includes Google Workspace revenue within this segment which is inherently much higher margin business (also note paid monthly active users in Gemini Enterprise grew 40% YoY), and b) as they ramp up their TPU hardware sales and TPU adoption itself through Google Cloud grows, that should be a further tailwind for their margins. Trainium adoption should be a tailwind for AWS too, but I suspect TPU will enjoy a much faster adoption and better margins than Trainium in the near term.

Google Cloud Opex as % of AWS Opex



Source: Company Filings, MBI Deep Dives, Daloopa

Ultimately, given the full-stack approach Google has in AI, it should be structurally difficult for other 3P hyperscalers to enjoy similar margins as Google Cloud in the long run. Alphabet management also wanted to drive this point home during the call (emphasis mine):

Google Cloud is differentiated because we are the only provider to offer first-party solutions across the entire enterprise AI stack. Our growth in revenue, operating margin and backlog highlights this differentiation. **Our enterprise AI solutions have become our primary growth driver for cloud for the first time.** In Q1, revenue from products built on our GenAI models grew nearly 800% year-over-year. We are winning new customers faster with new customer acquisition doubling compared to the same period last year.

But why is Google selling TPU hardware directly to customers instead of through Google Cloud's own data centers? Management had a good explanation (emphasis mine):

“...we will begin to deliver TPU hardware to a select group of customers in their own data centers. We expect to begin recognizing a small percent of the revenues from these agreements later this year **with the vast majority of revenues to be realized in 2027**. It is important to keep in mind that revenues from TPU hardware sales will fluctuate from quarter-to-quarter, depending on when TPUs are shipped to customers.

...you take customers like capital markets where they are running this highly performant AI workloads. They wanted TPUs in their data centers. So there are -- and those trends are true across a diverse set of industries and in certain cases, frontier AI labs, too. And so we are opportunistic about it. But I do think we step back and think about it overall as the opportunity for Google Cloud. A lot of it is providing infrastructure through cloud. At times, it is direct sales of TPU hardware to a select group of customers. But again, we do take ROIC approach. And some of it helps us get more economies of scale, scale in our overall compute environment as well.

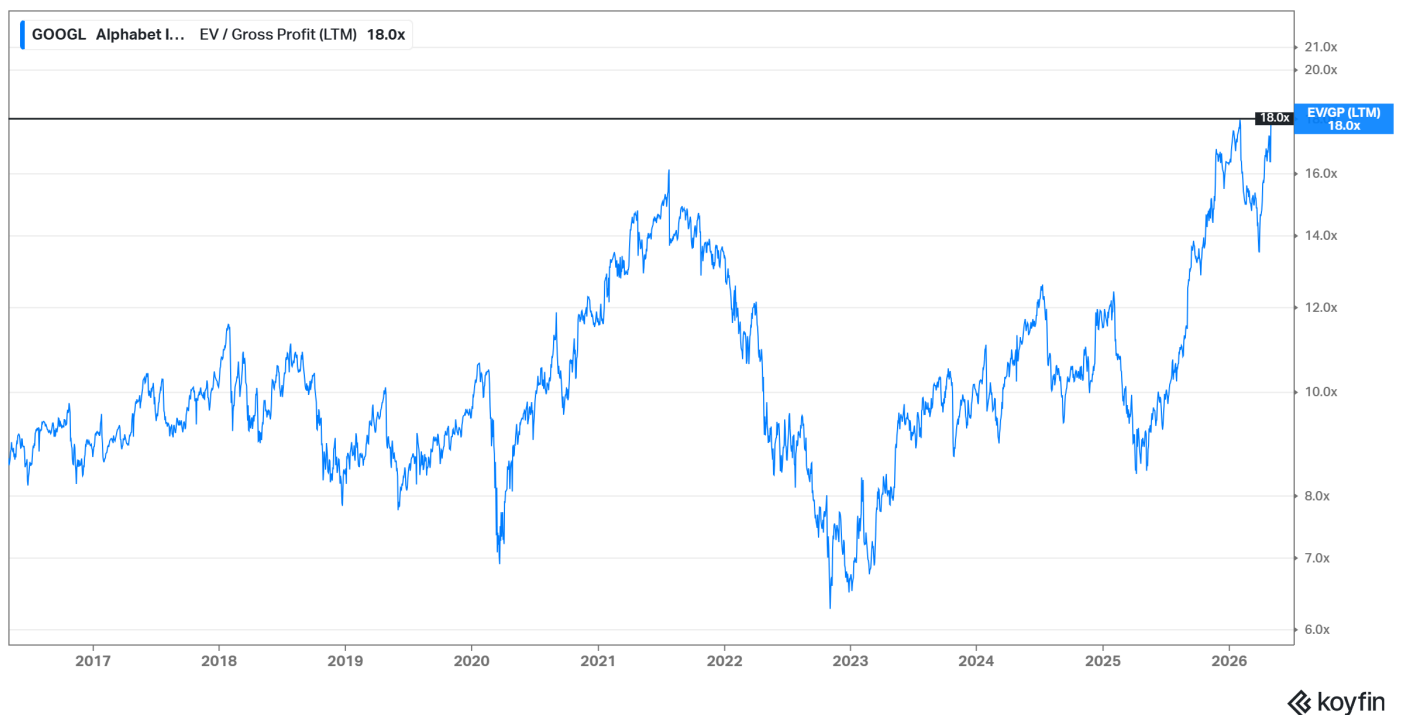
there was a lot of questions about how do we allocate. And remember, in a constrained environment, when we are choosing to allocate across all these opportunities, we are working off a robust ROIC framework.

As mentioned earlier, I will have more to share on hyperscalers in my Amazon earnings coverage tomorrow.

Like Meta, Alphabet also raised their 2026 capex guide to \$180-190 Billion (up from \$175-185 Billion) but while Meta blamed memory prices for upgrading capex, Alphabet mentioned Intersect acquisition to be the primary driver. More importantly, Alphabet gave us a sneak peek to 2027 as CFO explicitly mentioned 2027 capex to “significantly” increase compared to 2026. I don’t know what “significantly” exactly means, but ~40-50% likely fits the bill. Anyone who was hoping 2026 capex may be at least a local peak in capex may need to be more patient. At the same time, Alphabet seems to be a very uniquely positioned in the capex bandwagon. They are the only company who are not only building credible models to race towards AGI, but also partnered literally with almost everyone who is in this AGI race to provide their

infrastructure. Google Cloud has partnered with OpenAI, Anthropic, and even Meta in the last 12 months for which they must deploy massive capex to serve these customers in the future years. As a result, while the gap between Meta and Alphabet's capex is ~\$50 Billion this year, I suspect this gap may increase meaningfully over time. Given the visibility to monetization, investors seem to be totally fine with such capex plan as the stock reacted very positively post-earnings.

As you can see below, there is not an ounce of pessimism left in Alphabet's stock today. As it gets closer and closer to Nvidia's Enterprise Value (EV), Alphabet is actually currently trading at ~18x LTM Gross Profit multiple (it's a time series, so no worries if you hate LTM multiples) which is noticeably higher than what the stock traded even during the ZIRP era, an era when Google search query share was as monopolistic as ever with no clear long-term question in sight. While Google remains one of the favorites in the race to AGI, admittedly they have been conspicuously absent in the era of agents in 2026 which should incrementally raise some questions instead of handwaving any concerns. Management emphasized that they're getting ready to surf the agentic wave soon, but they aren't there yet. And while Google Cloud is structurally in an enviable position, the industry itself will face some really difficult questions in my opinion by the time AI labs become adults in the room. There are enough breadcrumbs of concerns that I'm sympathetic to that I felt compelled to trim my position by ~200 bps yesterday, especially since none of such concerns appears to be appreciated by Mr. Market. Despite such trims, given how the stock moved especially relative to other stocks I own, Alphabet's weight in my portfolio remained largely unchanged.



Source: KoyFin (MBI Deep Dives readers get 20% discount; just click [here](#))

Current Portfolio:

Please note that these are **NOT** my recommendation to buy/sell these securities, but just disclosure from my end so that you can assess potential biases that I may have because of my own personal portfolio holdings. Always consider my write-up my personal investing journal and never forget my objectives, risk tolerance, and constraints may have no resemblance to yours.

My current portfolio is disclosed below:

Ticker	Avg. Cost	Current Weight*	Unrealized Gain (loss) %	First Bought	First Buy Price	Last Bought	Last Buy Price	Last Sold	Last Sell Price
ABNB	119.6	31.2%	17.4%	Apr'25	100.0	Feb'26	127.6	N/A	N/A
META	446.9	31.2%	36.9%	Aug'18	172.8	Mar'26	600.0	Sep'25	767.6
GOOGL	192.9	14.2%	99.4%	Apr'25	149.8	Mar'26	295.3	Apr'26	373.5
FND	51.1	9.0%	-5.3%	Mar'26	50.3	Apr'26	47.0	N/A	N/A
CNSWF	2,257	5.5%	-19.2%	Mar'22	1,733.8	Mar'26	1,800.0	Apr'25	3,350
RYAN	35.3	3.6%	-1.5%	Mar'26	35.3	Mar'26	35.3	N/A	N/A
VEEV	198.0	3.4%	-21.3%	Jan'26	220.0	Apr'26	150.8	N/A	N/A
AMZN	137.4	2.2%	92.9%	Feb'20	91.0	May'25	186.9	Apr'26	260.7
Cash		-0.2%							
Total		100.0%							

**Based on closing prices as of April 30, 2026 (time-weighted YTD: -4.0%); Since inception (August 24, 2018) time-weighted annualized return CAGR +15.1%*

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